

# Inflation in an Island of High Prices. The Factors behind Price Stability in Switzerland

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## Abstract

Compared to other developed countries, Switzerland reveals very peculiar price level and inflationary trends. Switzerland is on the one hand often referred to as an “island of high prices” (*îlot de cherté*) due to its very high cost of living. According to Eurostat, Switzerland is 60% more expensive than its European neighbors. On the other hand, Switzerland stands out as one of the countries with the lowest increase in its consumer price index in the last 20 years and is as such well-known for its relatively low inflation rates and even deflationary pressures after the Great Recession. With the return of global inflation following the resurgence of supply-side inflationary shocks with the Covid crisis and the beginning of the war in Ukraine, inflation surged in Switzerland in 2021-22, although at lower rates than other economies.

Keywords: Inflation, Switzerland, Supply Shocks, Price Stability, Administered Prices

## Introduction

With the recurrence of large-scale global supply shocks since the Covid-19 crisis such as the war in Ukraine and more recently the closure of the strait of Hormuz, inflation has made a strong return in developed economies (Baltensperger 2023; Honohan 2024). In the last few years, the latter have experienced inflation rates not seen in decades due to supply chain disruptions and the increase in gas and oil prices. However, one country has remarkably well resisted to the 2021-2023 inflation surge: Switzerland. According to the KOF Swiss Economic Institute, inflation rose up to barely 2,8% in 2022 and 2,1% in 2023 and, since 2024, is already back to the Swiss National Bank (SNB) target range (0-2%) since. In international comparison, inflation reached 8% in the United States and 8,4% in the Eurozone in 2022 before declining to 4,1% and 5,5% respectively in 2023 (Sturm et al. 2023). The harmonized food price index increased by only 4,2% in Switzerland during the global food crisis of 2022 whereas it increased by 16,7% in the European Union (EU) (Eurostat 2026). Swiss prices are indeed among the most stable in the world since the last two decades, with an average annual inflation rate of its national consumer price index of only 0,6% between 2000 and 2025. Among developed economies, only Japan has experienced lower inflation (0,5%), whereas inflation rates usually ranged from 1,5% to 2,5% in other high-income countries. At the same time, Switzerland has one of the highest price levels in the world. Its GDP price index is approximately 60% higher

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than the EU average and final household expenditure prices are higher by 82% (Albouy and Bordes 2026).

What factors lie behind the high price levels and low inflation rates in Switzerland? What makes this country particularly resistant to inflationary pressures? The present contribution aims to contribute to the current debates around the return of inflation through an assessment of the institutional characteristics of the Swiss socio-economic model as well as its policy instruments which make it robust to inflationary pressures. Regarding the debates, there are two main currents in that regard. On the one hand, New Keynesians or New Consensus macroeconomists view inflation as the result of excess demand, that is, when there is a positive gap between actual GDP and potential GDP. According to this approach, the inflation of the 2020s is the result of either the fiscal and monetary stimulus in the aftermath of the Covid-19 crisis, or the result of a wage-price spiral. On the other hand, heterodox economists from post-Keynesian and institutionalist strands view inflation mainly as a cost-push phenomenon triggered by supply shocks affecting sectors with systemically significant prices which propagate more strongly to the rest of the economy such as energy (Weber et al. 2024, 2026). Whereas neo-Keynesians advocate restrictive monetary policy to reduce aggregate demand to fight inflation, heterodox economists propose more encompassing set of policies and reforms. Among those policies, price control is arguably the most salient instrument in that regard, as it is considered a relevant measure to contexts in which inflation is driven by increases in the mark-ups of firms in highly cartelized and non-competitive sectors which take advantages of the scarcity of raw materials in times of shortage crisis. Given the unique characteristics of its institutions and economic policies, Switzerland thus constitutes a particularly compelling case for assessing inflation stabilization policies.

The paper is structured as follows. The first section reviews the literature on the factors behind Switzerland's low inflation and high price level. The second section then assesses these factors by presenting a set of stylized facts about price dynamics in Switzerland. In the third section, we run an input-output model to evaluate the impact of the... *to be continued*

## Literature Review

Due to the diminished importance of inflation in Switzerland, the scientific literature on the determinants of the country's inflation dynamics is rather scarce. One can nonetheless identify several types of explanations. The first type of explanation, and surely the most widespread one, associates low inflation rates to the strength of the Swiss franc which dampens the price of imported goods. One of the most salient stylized facts of the Swiss economy is in effect the structural tendency of the Swiss franc to appreciate since the end of the Bretton Woods system, a tendency which reflects the country's strong competitiveness of its export-oriented industries which creates a strong international demand for the Swiss franc (Reynard 2009; Vallet 2016). Another variant of this explanation resides in the status of the Swiss franc as a strong safe-haven currency. The Swiss franc is indeed considered as one of the most sought-after assets in times of financial and economic crisis (Fatum and Yamamoto 2016; Lee 2017). Baltensperger and Kugler (2016) dates the status of the Swiss franc as a safe-haven currency

back to the first World War, when this status mirrored Switzerland's strong political, economic and monetary stability. For Swiss economic organizations and policy makers, the appreciation of the Swiss franc is considered as a double-edged sword. On the one hand, it represents a threat on the export-oriented industries which fear that an overvalued franc might have a negative effect on Swiss exports abroad. This fear is also shared by industries mostly oriented towards the domestic sector such as retail which are afraid that higher relative prices will result in an increase in cross-border shopping, a phenomenon that can be important in Switzerland given its geographical proximity to important European countries with a much lower cost of living (Kluser 2025). On the other hand, a stronger currency implies cheaper imports and can thus help to mitigate inflation, especially since Switzerland is a small open economy with few natural resources and therefore highly dependent on imports. The SNB even considers that appreciations of the Swiss franc come with the risk of provoking a deflationary spiral in times of economic crisis. During the eurozone crisis, the SNB introduced a minimum exchange rate (the so-called "taux plancher"), of one franc against 1,2 euros to combat deflation. The fact that the zero lower bound for the policy rate had already been reached entailed substantial purchase of foreign currency by the SNB which substantially increased its balance sheet until it decided to abandon the minimum exchange rate in January 2015.

However, studies on the so-called exchange rate pass-through (ERPT) on inflation find only a limited effect in Switzerland. Stulz (2007) finds a substantial but incomplete pass-through on import prices, with estimated ERPT elasticities of 0,52 after twelve months and 0,37 in the long run, whereas the ERPT to consumer prices amounts to 0,09 in the short run and merely 0,18 in the long run. Other studies have found either small or insignificant ERPT effects<sup>4</sup>. Even studies that have examined the causal effect of the sharp and sudden appreciation of the Swiss franc following the removal of the minimum exchange rate in 2015 have found only a limited impact. Auer et al. (2021) find a one-year pass-through effect of 0,075 for retail domestic prices and 0,366 for retail imported products. The results of Oktay (2022) underline important heterogeneities in the pass-through across categories of goods and services, with non-tradable goods and services having lower pass-through than tradable ones. However, the aggregate result of the pass-through is found to be very small as only 12% of the euro/franc shock of 2015 was passed on the overall Swiss consumer price index. Low inflation rates in Switzerland cannot therefore be attributed solely based on the strength of the Swiss franc as the ERPT effect is in fact very limited.

Some comparative case studies hold that lower inflation rate in Switzerland can be explained to a considerable extent by the different weights assigned to the items of the CPI compared to other countries, implying that Switzerland's low measured inflation is in part a statistical artefact, reflecting the specific structure and expenditure weights of the Swiss CPI basket. These studies underline the relatively low weight assigned to energy (5%) and the exclusion of certain important expenditure items such as the compulsory health insurance premiums and have provided estimations of Swiss inflation using the expenditure weights applied in other countries, such as Germany. Even under these counterfactual weighting schemes, Swiss

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<sup>4</sup> For a summary of the empirical estimates of the ERPT effects in Switzerland, see Bachmann (2012).

inflation remains nonetheless substantially lower than in comparable economies such as Spain and Germany, suggesting that measurement conventions account for only a modest fraction of the observed differential (Sonnenberg 2022; Dullien et al. 2024).

Regarding the structure of the Swiss CPI, another line of explanation has emphasized the importance of the high share of administered prices in the basket as a factor behind Switzerland's price stability.